

HARBOURNE RETAIL GROUP

Capital Project Appraisal

Fifteen urban convenience stores

Investment case, assumptions, risks and recommendation

Prepared by the Corporate Finance Division

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Confidential

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1. Executive summary

Harbourne Retail Group is asking the board to approve a £7.35 million programme to open 15 convenience stores in dense urban areas of England. Each store costs £450,000 to fit out and £40,000 to open. The question is whether the extra cash the stores earn over a ten year lease justifies that money at a hurdle rate of 8.98%.

In the Base Case it does, but not by a wide margin. The programme returns a net present value (NPV) of £1.95 million and an internal rate of return (IRR) of 13.7%. The money is paid back in 5.6 years. That is a decent result for a store roll out. It is not a spectacular one.

The spread of outcomes is the real story. In the Upside Case the NPV is £10.03 million and the IRR is 30.7%. In the Downside Case the NPV is negative £3.15 million and the IRR is negative 0.2%, so the group roughly gets its cash back over ten years but earns nothing on it. Convenience stores run on thin margins (incremental EBITDA is 5.8% of sales in Year 3 of the Base Case), so a small move in sales moves the answer a long way. Sales per store only have to come in 4.8% below plan for the NPV to fall to zero.

That does not make the project a bad idea. It means the board should not decide on the Base Case alone. We recommend approving the programme in two phases. Phase 1 covers five stores and commits £2.45 million, a third of the total. The other ten stores (£4.90 million) are released only if the first five pass five tests on sales, sales transfer, gross margin, staff cost and build cost. Section 9 sets those tests out.

Table 1. Headline results by scenario

Measure	Base Case	Upside Case	Downside Case
Initial outlay (£'000)	7,350	6,900	7,710
Net present value (£'000)	1,951	10,032	(3,151)
Internal rate of return	13.7%	30.7%	(0.2%)
Profitability index	1.27x	2.45x	0.59x
Payback period	5.6 years	3.4 years	Beyond 10 years
Expected NPV, weighted 50 / 25 / 25 (£'000)	2,696		

Source. Harbourne Retail financial model, Dashboard sheet. Hurdle rate 8.98%. Scenario weights are a judgement.

The decision requested is approval of Phase 1 and of the stage gate criteria in Section 9.

2. Strategic context

The UK convenience channel is worth about £49.2 billion in 2025, and IGD (2025) expects it to reach £56.2 billion by 2030, growth of 2.7% a year. That is steady, not fast. The growth is also uneven. National multiple retailers hold 25.4% of the channel and are its fastest growing group, mainly because they keep opening stores (IGD, 2025). Chilled food, soft drinks and food to go carry the gains. Tobacco and vaping sales are falling and will drag on the channel for some time.

Urban sites suit that picture. Dense catchments bring frequent small baskets and food to go sales without heavy marketing. They also bring rivals. IGD (2025) names quick commerce delivery as a

growing source of proximity shopping, and every urban store now competes with it. A new store has to win its customers on location, range and speed, because it cannot win on price.

Costs are the harder problem. The National Living Wage rose 4.1% to £12.71 an hour in April 2026 (GOV.UK, 2026a). Employers pay National Insurance of 15% on earnings above £5,000 a year (GOV.UK, 2026b). Food price inflation was only 1.3% in August 2026 (Office for National Statistics [ONS], 2026), so stores cannot pass all of their cost growth on to shoppers. There is one helpful change. From April 2026 small retail properties pay a lower business rates multiplier of 38.2p, against 43.2p for other small properties (Westminster City Council, 2026). The change follows a permanent cut for retail, hospitality and leisure properties with a rateable value under £500,000 (HM Treasury, 2025).

In practical terms, the market will not lift a weak store. Each of the 15 sites has to earn its place on its own sales.

3. The proposal

The programme opens 15 stores in dense urban catchments. Each needs £450,000 of capital spending on shopfit, refrigeration, shelving, tills and IT, plus professional fees and the lease premium. A further £40,000 a store covers recruitment, training, launch marketing and opening stock. The total initial outlay is £7.35 million, all spent in Year 0.

Stores open on a rolling basis through Year 1, so the average store trades for only part of that year. Sales reach 75% of the mature level in Year 1 and 92% in Year 2. Mature sales are £2.4 million a store in first year prices. Each store sits on a ten year lease. The appraisal covers the whole lease and assumes no residual value, so anything left in the sites at the end is a bonus rather than part of the case.

We measure the project by the extra cash it gives the group, not by the stores' own takings. Two adjustments matter. First, some new store sales come from the group's existing stores nearby. Pancras et al. (2012) found that about 13% of a new store's sales came from sister stores in the chain they studied, and that the effect fades as stores sit further apart. We use 12% in the Base Case and deduct the gross profit the group loses on those sales. Second, fifteen more stores need extra area management and delivery drops, which we charge at 1.2% of sales.

The method is standard. We forecast incremental after tax cash flows, discount them at a rate that reflects the risk, and accept the project if the NPV is positive (Brealey et al., 2022). Surveys of finance chiefs show that NPV and IRR remain the main tools companies use for capital decisions (Graham & Harvey, 2001). We also report payback, because boards ask for it, but we do not lean on it. It ignores everything that happens after the cash is recovered.

4. Key assumptions

The hurdle rate

The hurdle rate is 8.98%. We build it from the cost of equity and the cost of debt, then add a premium for project risk. The ten year gilt yield was 5.42% on 30 September 2026 (Trading

Economics, 2026), which we round to 5.4%. Bank Rate stood at 3.75% (Bank of England, 2026), so long gilts sit well above short term rates. We pair the gilt yield with an equity beta of 0.80 and an equity risk premium of 4.8%. That premium is Damodaran's (2026) implied mature market figure of 4.2% (rounded) plus 0.6% for UK specific risk. The cost of equity comes to 9.24%. Debt costs the gilt yield plus a 1.3% spread, which is 5.03% after tax. With 30% debt, the weighted average cost of capital is 7.98%. We add 1.0% because new stores carry more execution risk than the average store the group already runs.

Table 2. Building the hurdle rate

Step in the build	Value	Basis
Risk free rate (10 year gilt yield, rounded)	5.40%	Market
Equity beta	0.80	Judgement
Equity risk premium (4.2% mature market plus 0.6% UK allowance)	4.80%	Damodaran and judgement
Cost of equity	9.24%	Calculated
Cost of debt before tax (gilt yield plus 1.3% spread)	6.70%	Judgement
Cost of debt after tax at 25%	5.03%	Calculated
Debt share of capital	30%	Judgement
Weighted average cost of capital	7.98%	Calculated
Project risk premium	1.00%	Judgement
Hurdle rate used in the model	8.98%	Calculated

Source. Harbourne Retail financial model, Assumptions sheet.

Beta, the UK allowance, the spread, the debt share and the project premium are judgements. Moving the discount rate by a point or two matters much less than moving the operating inputs, as Section 7 shows.

Revenue

Mature sales of £2.4 million a store is a management estimate, not an observed figure. It is the assumption the whole case leans on hardest, and it should be checked against trading data from comparable existing stores before the board relies on it. Like-for-like growth is 2.0% a year from Year 2. IGD (2025) forecasts channel growth of 2.7% a year, but that includes new store openings, so growth in an established store should sit below it. The Upside Case uses 3.0% and the Downside Case 1.2%.

Costs

Cost of goods sold is 71.5% of sales, a gross margin of 28.5%, with supplier terms matching the existing estate. Staff costs are built from the ground up. A store needs about 8 full time equivalent staff to cover 16 trading hours a day, seven days a week, plus stock handling. At an average of £13.40 an hour (the National Living Wage is £12.71), 1,950 paid hours a year and 18% on-costs, that is £247,000 a store in Year 1. Pay then grows 3.5% a year.

Rent is £100,000 a store and stays flat until an upward only review in Year 6 adds 10%. Business rates are £19,100 a store, from a rateable value of £50,000 and the 38.2p small business multiplier. Energy, repairs and other occupancy add £45,000, and card fees and cash handling add 0.80% of sales.

Tax and working capital

Corporation Tax is 25% (GOV.UK, n.d.-b). Full expensing gives a 100% first year deduction for qualifying plant and machinery (GOV.UK, n.d.-a). We assume 60% of capital spending qualifies, mostly refrigeration, shelving and IT, and relieve the remaining 40% in equal parts over the ten year lease as a simple stand in for the slower allowances on structural work. Tax advisers should confirm that split.

The group is profitable, so we assume the early allowances are used against group profits straight away. That produces a tax refund of £1.21 million in Year 1 of the Base Case. It flatters the first year cash flow, and a reader should know it. Without the refund, Year 1 free cash flow would be negative £0.74 million. If the group could not use the loss at once, the relief would arrive later. That moves cash between years but does not create or destroy it, so the effect on NPV is small.

Net working capital is 3% of sales, recovered when the leases end. That is cautious, because grocers usually buy on supplier credit.

Assumptions by scenario

Table 3. Key assumptions by scenario

Assumption	Base Case	Upside Case	Downside Case
Capital expenditure per store (£'000)	450	425	470
Pre-opening costs per store (£'000)	40	35	44
Mature sales per store (£'000)	2,400	2,500	2,330
Year 1 sales ramp	75%	80%	72%
Year 2 sales ramp	92%	95%	89%
Like-for-like sales growth	2.0%	3.0%	1.2%
Sales taken from existing stores	12%	8%	14%
Cost of goods sold (share of sales)	71.5%	71.4%	71.7%
Average hourly pay (£)	13.40	13.30	13.50
Annual pay growth	3.5%	3.0%	3.8%
Rent per store (£'000)	100	97	101
Rent increase at Year 6 review	10%	8%	11%
Energy, repairs and other occupancy (£'000)	45	43	46
Card fees and cash handling (share of sales)	0.80%	0.75%	0.85%
Area management and distribution (share of sales)	1.20%	1.10%	1.25%
Hurdle rate	8.98%	8.98%	8.98%

Source. Harbourne Retail financial model, Assumptions sheet. All other inputs are the same in every scenario.

Some inputs rest on published sources. These are pay rates, employer National Insurance, business rates, the tax rules, the gilt yield and the equity risk premium. Others rest on management estimates and one academic study of a different retail chain. Those are sales per store, capital cost, rent, occupancy cost and sales transfer. The second group carries most of the risk.

5. Financial analysis, Base Case

Table 4 sets out the Base Case cash flows. Year 0 is the £7.35 million outlay. In Year 1 the stores are still ramping up, so incremental EBITDA is only £0.07 million. Free cash flow is positive at £0.47

million only because of the £1.21 million tax refund described in Section 4. By Year 3 the stores trade at close to maturity and incremental EBITDA reaches £2.17 million, which is 5.8% of sales.

Table 4. Base Case cash flows

£'000	Y0	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Revenue	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Corporation Tax	0	1,212	(303)	(475)	(477)	(479)	(443)	(443)	(443)	(443)	(442)
Capital expenditure	(6,750)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(600)	0	0	0	0	0	0	0	0	0	0
Working capital	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Free cash flow	(7,350)	473	975	1,585	1,680	1,684	1,575	1,576	1,576	1,574	2,860
Cumulative free cash flow	(7,350)	(6,877)	(5,902)	(4,317)	(2,637)	(952)	623	2,199	3,775	5,349	8,209

Source: Harbourne Retail financial model, Base Case sheet. Outflows are shown in brackets.

Figure 1 shows the shape. After the large Year 0 outlay, annual free cash flow settles between £1.57 million and £1.68 million. Cumulative cash turns positive during Year 6, which gives the payback of 5.6 years. Year 10 is higher at £2.86 million because it includes the £1.29 million of working capital released at the end of the leases.

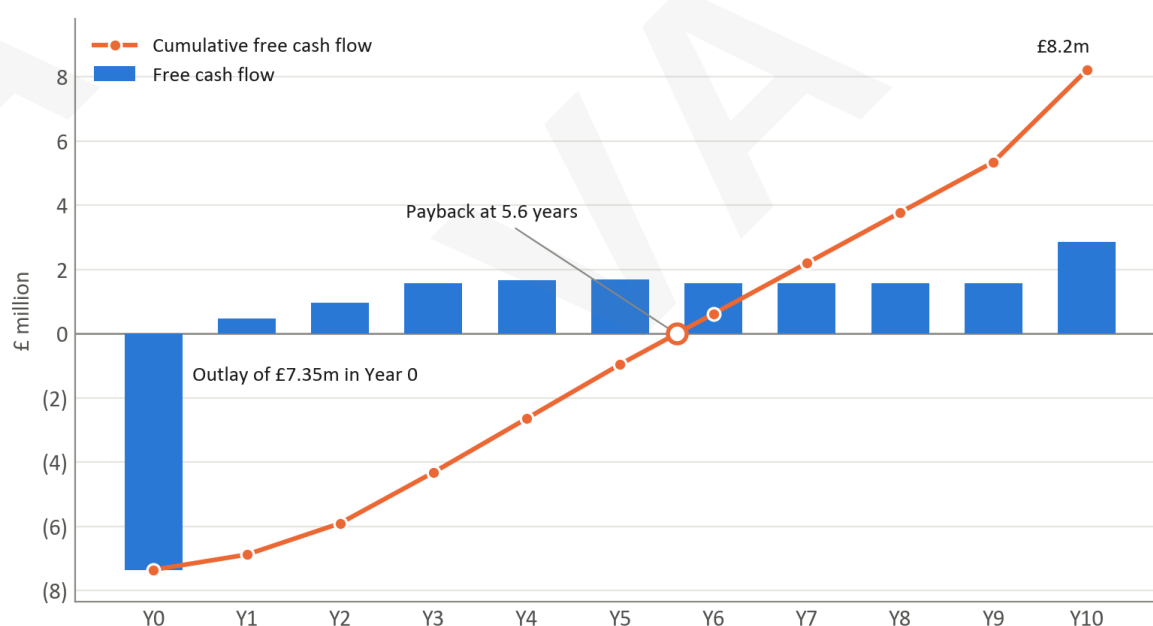


Figure 1. Base Case free cash flow and cumulative free cash flow

Source: Harbourne Retail financial model, Base Case sheet.

The return measures agree. The IRR of 13.7% sits 4.8 percentage points above the hurdle rate. The profitability index is 1.27, so each pound invested returns £1.27 in present value. The NPV works out at £130,000 a store. Discounting stretches payback from 5.6 years to 8.0 years. That discounted figure is the one to keep in mind. After allowing for the cost of capital, the project only just earns its money back inside the first eight years of a ten year lease.

At the store level the picture is clear. In Year 3 a store sells about £2,497,000 and adds about £145,000 of EBITDA after the gross profit lost at neighbouring stores. Against £490,000 of initial spending, that is a pre-tax cash return of about 30% a year. It is a good return, but it depends on every input holding.

6. Scenario analysis

The three scenarios are stories about how the stores might trade, not arbitrary high and low numbers.

The Upside Case imagines that site selection performs at the top of the group's range. Stores open in strong catchments with little direct competition. Mature sales are £2.5 million, the ramp is faster (80% and 95%), only 8% of sales come from neighbouring stores, and capital costs are £425,000 a store. The NPV is £10.03 million and payback is 3.4 years. That is ambitious but not unreasonable if execution is strong.

The Downside Case imagines several things going slightly wrong together. Mature sales are £2.33 million, 3% below the Base Case. The ramp is slower (72% and 89%), 14% of sales come from neighbouring stores, growth is 1.2%, and pay, rent and capital costs all run higher. No single input is extreme. Together they turn a positive project into a negative one. The NPV is negative £3.15 million and the IRR is negative 0.2%. Ten year cumulative cash flow is negative £0.08 million, so the group only just fails to recover its outlay in cash.

Table 5. Scenario results

Measure	Base Case	Upside Case	Downside Case
Initial outlay (£'000)	7,350	6,900	7,710
Net present value (£'000)	1,951	10,032	(3,151)
Internal rate of return	13.7%	30.7%	(0.2%)
Modified internal rate of return	11.6%	19.2%	3.4%
Profitability index	1.27x	2.45x	0.59x
Payback period	5.6 years	3.4 years	Beyond 10 years
Discounted payback period	8.0 years	4.1 years	Beyond 10 years
Peak funding requirement (£'000)	7,350	6,900	7,710
Ten year cumulative free cash flow (£'000)	8,209	21,392	(84)
NPV per store (£'000)	130	669	(210)
Year 3 incremental EBITDA margin	5.8%	8.6%	3.9%
Year 3 revenue (£'000)	37,454	39,784	35,794

Source. Harbourne Retail financial model, Dashboard sheet.

A probability weighted view helps only a little, and it needs care. Putting 50% on the Base Case and 25% on each of the others gives an expected NPV of £2.70 million. The Upside Case does a lot of work in that average, because it sits £8.08 million above the Base Case while the Downside Case sits £5.10 million below it. The weights are a judgement, not a measurement. Flyvbjerg (2009) found, for large infrastructure projects, that forecast benefits are more often overstated than understated. A store programme is far smaller, but the lesson carries over. It argues against giving the Upside Case as much weight as the Downside Case.



Figure 2. Net present value by scenario

Source. Harbourne Retail financial model, Dashboard sheet.

7. Sensitivity and break-even analysis

The scenarios move many inputs at once. To see which inputs matter, Figure 3 moves one at a time and shows the change in Base Case NPV.

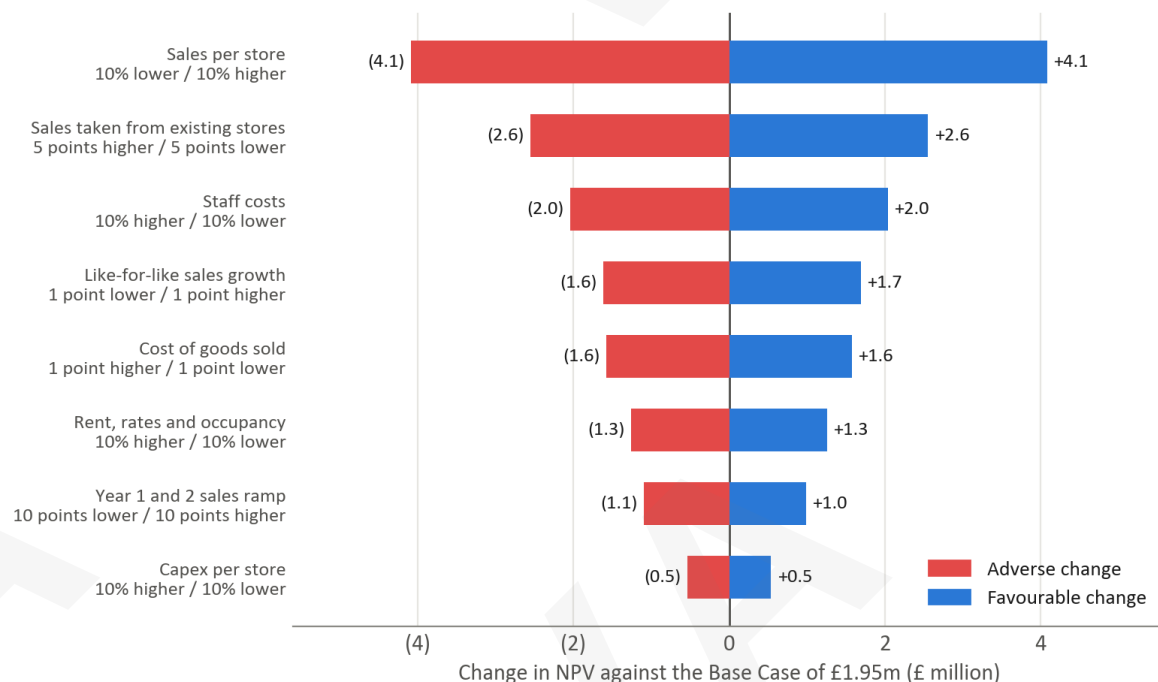


Figure 3. Change in Base Case NPV from one at a time changes

Source. Harbourne Retail financial model, Sensitivity sheet.

Sales per store is by far the biggest driver. A 10% fall cuts NPV by £4.08 million, which takes it to negative £2.13 million. Sales taken from neighbouring stores comes next. Five more points of transfer cost £2.55 million. Staff costs are third, and a 10% rise leaves the NPV at about zero. Capex per store matters least. A 10% overrun costs £0.54 million. That is a useful finding. It says the main risk is not the cost of building the stores. It is what the stores sell and where the sales come from.

Because NPV moves in a straight line with sales, capex, gross margin and sales transfer, two model runs fix the break-even for each of them exactly. Table 6 gives the values.

Table 6. Break-even values with all other inputs at the Base Case

Driver	Base Case	Break-even	Change needed for NPV of zero
Mature sales per store (£'000)	2,400	2,285	4.8% lower
Capex per store (£'000)	450	613	36.2% higher
Cost of goods sold (share of sales)	71.5%	72.7%	1.2 points higher
Sales taken from existing stores	12.0%	15.8%	3.8 points higher
Discount rate (the Base Case IRR)	8.98%	13.74%	4.8 points higher

Source. Harbourne Retail financial model, Sensitivity sheet. Ramp and growth do not move NPV in a straight line, so they are left out.

The margin of safety on sales is thin. Mature sales can fall to £2,285,000 a store, 4.8% below plan, before the NPV reaches zero. The margin on capex is wide. Cost per store could rise 36% before the project fails. That contrast shapes the stage gates in Section 9.

Table 7. Base Case NPV (£'000), sales per store against capex per store

Capex per store (£'000)	Sales 2,160	Sales 2,280	Sales 2,400	Sales 2,520	Sales 2,640
405 (minus 10%)	(1,593)	448	2,489	4,531	6,572
428 (minus 5%)	(1,863)	179	2,220	4,261	6,303
450 (base)	(2,132)	(91)	1,951	3,992	6,034
473 (plus 5%)	(2,402)	(360)	1,681	3,723	5,764
495 (plus 10%)	(2,671)	(629)	1,412	3,453	5,495

Source. Harbourne Retail financial model, Sensitivity sheet. Sales per store in £'000 across the top.

Table 7 makes the same point from another angle. Across a 10% range, sales per store moves the NPV from negative to positive, while the same range on capex never does.

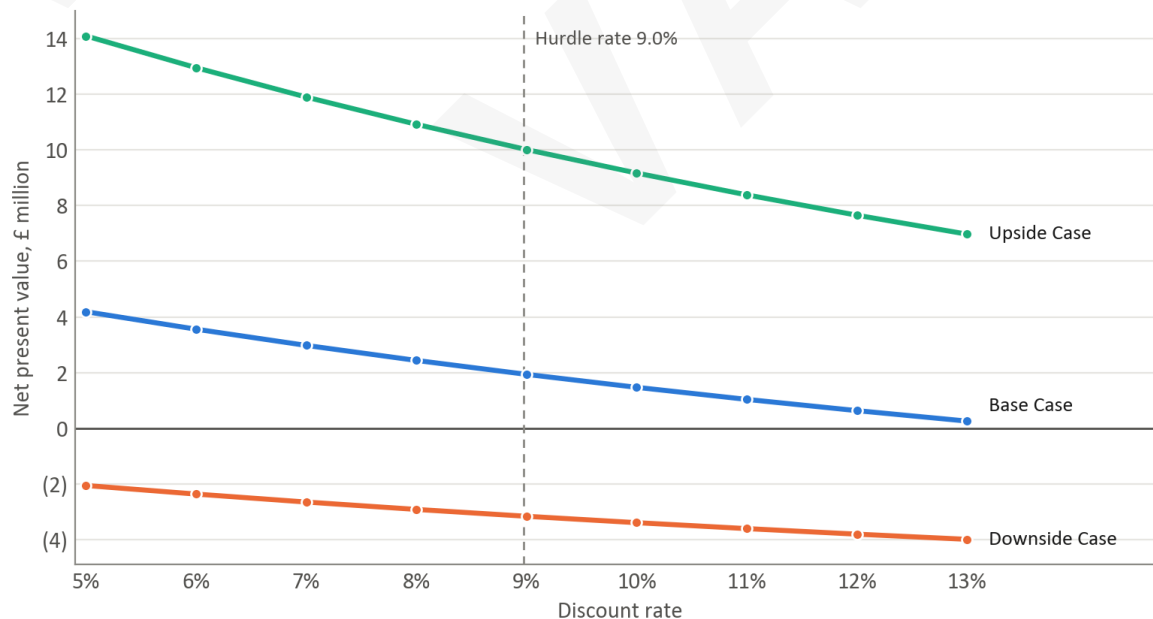


Figure 4. NPV against discount rate by scenario

Source. Harbourne Retail financial model, Sensitivity sheet.

The discount rate matters less than the operating inputs. The Base Case NPV stays positive up to its IRR of 13.7%, and is still £0.26 million at a 13% rate. The Downside Case is negative at every rate tested. A debate about whether the right rate is 8% or 10% would miss the point. The case is decided by sales.

8. Risk assessment

We rank the risks by what the model shows, not by how alarming they sound. Table 8 sets out the main ones, with the response for each.

Table 8. Risk register

Risk	Likelihood	Impact	What the model shows	Response
Sales per store fall short of plan	Medium	High	A 10% fall cuts NPV by £4.08m. Break-even is only 4.8% below plan.	Test the sales estimate against comparable stores before sign-off. Use the Phase 1 stage gate.
More sales come from nearby group stores	Medium	Medium to high	Five more points of transfer cost £2.55m. Break-even is 15.8%.	Screen sites by distance from existing stores. Track transfer in Phase 1 using loyalty card data.
Pay and staffing costs rise faster than prices	High	Medium to high	A 10% rise in staff costs takes NPV to about zero (cost of £2.04m).	Tighten rotas, review trading hours store by store, and plan for annual wage floor increases.
Gross margin comes under pressure	Medium	Medium	One extra point of cost of goods sold costs £1.58m.	Hold supplier terms, push food to go, and control promotions.
Rent, rates and energy exceed plan	Medium	Medium	A 10% rise in occupancy costs costs £1.26m.	Agree rent review caps and check rateable values before signing.
Planning, licensing or build delays slow the ramp up	Medium	Medium	Ten points off the Year 1 and 2 ramp costs £1.09m.	Secure planning and licences before fit-out starts. Keep openings rolling.
Fit-out costs overrun	Medium	Low	A 10% overrun costs £0.54m. Break-even is 36% above budget.	Use fixed price contracts and a repeatable store design.

Source. Harbourne Retail financial model, Sensitivity sheet. Likelihood and impact ratings are judgements.

Some risks do not sit in the model. Planning and licensing are the clearest. Residents in dense areas can object to late night trading and to deliveries, and conditions on opening hours would cut sales directly. A store in a city centre may also face limits on delivery times and vehicles. The model has no line for those costs, so they should be checked site by site.

Brand and operating risks matter too. Fifteen new stores will draw on the same pool of managers, and stretching the best people thinly can damage the existing estate. Staff turnover is higher in city stores, which affects service as well as cost. Finally, refrigeration is the biggest energy user in a convenience store. Its running cost, and any tighter refrigerant rules, could move occupancy costs by more than the model allows.

The risk that deserves most attention is the sales estimate itself. Every other input has an outside check. Pay rates, taxes and business rates are published. Sales per store is a forecast, and the Base Case has almost no room for it to be wrong.

9. Recommendation and stage gates

We recommend approving the programme in two phases. Phase 1 opens five stores in the strongest available sites and commits £2.45 million. Phase 2 opens the other ten, commits a further £4.90 million, and goes ahead only if Phase 1 passes the tests in Table 9 after nine months of trading.

Table 9. Stage gate tests for releasing Phase 2

Test at month 9 of trading	Base Case	Gate for release	NPV reaches zero at
Sales per store, annualised, against plan for the same stage	100%	At least 97%	95.2% of plan
Sales taken from nearby group stores	12%	No more than 14%	15.8%
Cost of goods sold (share of sales)	71.5%	No more than 72.0%	72.7%
Staff cost per store	£247k	No more than 5% above plan	About 10% above plan
Fit-out and opening cost per store	£490k	No more than £539k	36% above the capex budget

Source. Harbourne Retail financial model, Sensitivity sheet. The gate levels are our judgement and sit inside the break-even values so that a pass leaves some cushion.

The case for staging is simple. If Phase 1 behaved like the Downside Case, five stores would lose about £1.05 million of value, against £3.15 million for all fifteen (a pro rata estimate). Phase 1 also produces real trading data on the one input the case depends on most.

The other side deserves a fair hearing. Waiting has a price. Ten stores that open nine months or more later lose that much trading, and the Base Case NPV of £1.95 million is not large enough to absorb much delay. A board that wants the full programme at once has a point. We still land on staging, because the loss in the Downside Case is bigger than anything delay would cost, and because Phase 1 can be run quickly if the sites are secured in advance.

If Phase 1 passes every test, Phase 2 should be released without further debate. If it misses one test narrowly, the model should be rerun with the trading data and a revised case brought back. If it misses on sales, Phase 2 should stop. The next steps are to test the sales estimate against comparable stores, confirm the capital allowance split with tax advisers, secure planning and licences for the Phase 1 sites, and set up weekly tracking of the five gate measures.

10. Limits of the analysis

All modelled figures should be read as directional estimates, not audited numbers. Confidence is high that the arithmetic is right. The workbook passes 22 integrity checks, and an independent calculation outside Excel reproduced the NPV and IRR of all three scenarios. Confidence is moderate for the published inputs and low for sales per store, which is a management estimate.

Several simplifications are worth stating. The model uses cash rent, not the lease accounting in IFRS 16, so reported profit would look different. It assumes no residual value and no rise in capital costs over the roll out. Tax follows a simple split between full expensing and straight line relief, and it assumes the group can use early losses at once. It ignores financing flows, because the hurdle rate already reflects the cost of funds. Pancras et al. (2012) studied a different chain, and sales transfer depends on how close the new stores sit to existing ones. Finally, the sensitivities move one input at a time, while in practice inputs move together, which is why the scenarios matter.

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Appendix A. Base Case model in full

Figures are £'000 unless stated. They match the Base Case sheet of the Excel model.

Table A1. Base Case, all years

£'000	Y0	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Stores trading	0	15	15	15	15	15	15	15	15	15	15
Revenue from new stores	0	27,000	33,782	37,454	38,203	38,968	39,747	40,542	41,353	42,180	43,023
Memo, sales taken from existing stores	0	(3,240)	(4,054)	(4,495)	(4,584)	(4,676)	(4,770)	(4,865)	(4,962)	(5,062)	(5,163)
Cost of goods sold	0	(19,305)	(24,154)	(26,780)	(27,315)	(27,862)	(28,419)	(28,987)	(29,567)	(30,159)	(30,762)
Gross profit	0	7,695	9,628	10,675	10,888	11,106	11,328	11,554	11,786	12,021	12,262
Staff costs	0	(3,700)	(3,830)	(3,964)	(4,102)	(4,246)	(4,394)	(4,548)	(4,707)	(4,872)	(5,043)
Rent	0	(1,500)	(1,500)	(1,500)	(1,500)	(1,500)	(1,650)	(1,650)	(1,650)	(1,650)	(1,650)
Business rates	0	(287)	(294)	(301)	(309)	(316)	(324)	(332)	(341)	(349)	(358)
Energy, repairs and other occupancy	0	(675)	(692)	(709)	(727)	(745)	(764)	(783)	(802)	(822)	(843)
Card fees, packaging and cash handling	0	(216)	(270)	(300)	(306)	(312)	(318)	(324)	(331)	(337)	(344)
Area management and distribution support	0	(324)	(405)	(449)	(458)	(468)	(477)	(487)	(496)	(506)	(516)
Store EBITDA	0	993	2,637	3,452	3,486	3,519	3,401	3,430	3,458	3,484	3,508
Gross profit lost at existing stores	0	(923)	(1,155)	(1,281)	(1,307)	(1,333)	(1,359)	(1,387)	(1,414)	(1,443)	(1,471)
Incremental EBITDA	0	70	1,482	2,171	2,180	2,187	2,041	2,044	2,044	2,041	2,036
Incremental EBITDA margin	0.0%	0.3%	4.4%	5.8%	5.7%	5.6%	5.1%	5.0%	4.9%	4.8%	4.7%
Accounting depreciation	0	(675)	(675)	(675)	(675)	(675)	(675)	(675)	(675)	(675)	(675)
Incremental EBIT (accounting)	0	(1,205)	807	1,496	1,505	1,512	1,366	1,369	1,369	1,366	1,361
Capital allowances, full expensing	0	(4,050)	0	0	0	0	0	0	0	0	0
Capital allowances, remaining capex	0	(270)	(270)	(270)	(270)	(270)	(270)	(270)	(270)	(270)	(270)
Pre-opening costs deducted for tax	0	(600)	0	0	0	0	0	0	0	0	0
Taxable profit or loss	0	(4,850)	1,212	1,901	1,910	1,917	1,771	1,774	1,774	1,771	1,766
Corporation Tax (paid) or group relief (received)	0	1,212	(303)	(475)	(477)	(479)	(443)	(443)	(443)	(443)	(442)
Net working capital balance	0	810	1,013	1,124	1,146	1,169	1,192	1,216	1,241	1,265	1,291
Working capital movement and recovery	0	(810)	(203)	(110)	(22)	(23)	(23)	(24)	(24)	(25)	1,265
Capital expenditure	(6,750)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(600)	0	0	0	0	0	0	0	0	0	0
Free cash flow	(7,350)	473	975	1,585	1,680	1,684	1,575	1,576	1,576	1,574	2,860
Cumulative free cash flow	(7,350)	(6,877)	(5,902)	(4,317)	(2,637)	(952)	623	2,199	3,775	5,349	8,209
Discount factor	1.0000	0.9176	0.8421	0.7727	0.7091	0.6507	0.5971	0.5479	0.5028	0.4614	0.4234
Discounted free cash flow	(7,350)	434	821	1,225	1,191	1,096	940	864	792	726	1,211

Source. Harbourne Retail financial model, Base Case sheet.

Appendix B. Upside and Downside Case cash flows

Table B1. Upside Case cash flows

£'000	Y0	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Revenue from new stores	0	30,000	36,694	39,784	40,977	42,207	43,473	44,777	46,120	47,504	48,929
Incremental EBITDA	0	1,280	2,788	3,412	3,567	3,728	3,777	3,948	4,124	4,306	4,493
Corporation Tax	0	831	(633)	(789)	(828)	(868)	(881)	(923)	(967)	(1,013)	(1,059)
Capital expenditure	(6,375)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(525)	0	0	0	0	0	0	0	0	0	0
Working capital movement and recovery	0	(900)	(201)	(93)	(36)	(37)	(38)	(39)	(40)	(42)	1,425
Free cash flow	(6,900)	1,211	1,954	2,530	2,704	2,823	2,859	2,986	3,116	3,251	4,858
Cumulative free cash flow	(6,900)	(5,689)	(3,735)	(1,205)	1,499	4,321	7,180	10,166	13,282	16,533	21,392

Source. Harbourne Retail financial model, Upside Case sheet.

Table B2. Downside Case cash flows

£'000	Y0	Y1	Y2	Y3	Y4	Y5	Y6	Y7	Y8	Y9	Y10
Revenue from new stores	0	25,164	31,479	35,794	36,223	36,658	37,098	37,543	37,994	38,450	38,911
Incremental EBITDA	0	(623)	612	1,397	1,311	1,219	955	852	743	627	505
Corporation Tax	0	1,449	(83)	(279)	(257)	(234)	(168)	(143)	(115)	(86)	(56)
Capital expenditure	(7,050)	0	0	0	0	0	0	0	0	0	0
Pre-opening costs	(660)	0	0	0	0	0	0	0	0	0	0
Working capital movement and recovery	0	(755)	(189)	(129)	(13)	(13)	(13)	(13)	(14)	(14)	1,153
Free cash flow	(7,710)	71	340	988	1,041	972	774	696	614	527	1,603
Cumulative free cash flow	(7,710)	(7,639)	(7,299)	(6,311)	(5,270)	(4,298)	(3,524)	(2,828)	(2,214)	(1,687)	(84)

Source. Harbourne Retail financial model, Downside Case sheet.